Master Circular April 2026
Finance and Accounts Department

II. Master Circular for Securities Transaction Tax ("STT") and Commodities transaction tax ("CTT")

1. Securities Transaction Tax (STT) Rates

Securities Transaction Tax (STT) was introduced in Chapter VII of the Finance (No. 2) Act 2004. The Finance Act, 2026, containing various budget proposals and amendments related to taxation received the Presidential assent on 30th March 2026. One of the amendments was pertaining to increase in the rate of STT on sale of Option contracts and Future contracts with effect from 01st April 2026. The revised rates of STT for taxable securities transactions as amended by Finance Act, 2026 is given below -

Sr. No.	Taxable Securities Transactions	Effective till 31st Mar 2026	Effective from 01st Apr 2026	Payable by
1.	Purchase of an equity share in a company or a unit of a business trust, where – (a) the transaction of such purchase is entered into in a recognised stock exchange; and (b) the contract for the purchase of such share or unit is settled by the actual delivery or transfer of such share or unit.	0.1%	0.1%	Purchaser
1.A	Purchase of an unit of an equity-oriented fund, where - (a) the transaction of such purchase is entered into in a recognised stock exchange; and (b) the contract for the purchase of such unit is settled by the actual delivery or transfer of such unit.	NIL	NIL	-
2.	Sale of an equity share in a company or a unit of a business trust, where - (a) the transaction of such sale is entered into in recognised stock exchange; and (b) the contract for the sale of such share or unit is settled by the actual delivery or transfer of such share or unit.	0.1%	0.1%	Seller

Sr. No.	Taxable Securities Transactions	Effective till 31st Mar 2026	Effective from 01st Apr 2026	Payable by
2A.	Sale of an unit of an equity-oriented fund, where - (a) the transaction of such sale is entered into in a recognised stock exchange; and (b) the contract for the sale of such unit is settled by the actual delivery or transfer of such unit.	0.001%	0.001%	Seller
3.	Sale of an equity share in a company or a unit of an equity-oriented fund or a unit of business trust, where -- (a) the transaction of such sale is entered into in a recognised stock exchange; and (b) the contract for the sale of such share or unit is settled otherwise than by the actual delivery or transfer of such share or unit.	0.025%	0.025%	Seller
4.	(a) Sale of an option in securities. (b) Sale of an option in securities where option is exercised. (c) Sale of a futures in securities.	**0.10%** **0.125%** **0.02%**	**0.15%** **0.15%** **0.05%**	Seller Purchaser Seller

For further clarification on the subject matter, you may kindly contact the following officials:

Contact Person	Contact No.
Mr. Libin Mathews	022-22728867
Mr. Nikhil Kataria	022-22725830

2. Securities Transaction Tax (STT) – Physical Settlement of Stock Derivatives

This is with reference to the SEBI circular no. SEBI/HO/MRD/DP/CIR/P/2018/67 dated April 11, 2018, regarding mandatory physical settlement of the specified stock derivatives.

Pursuant to the above circular and in view of the shift from the existing cash settlement to the settlement by way of physical delivery, members have been seeking various clarifications / advisory on the applicability of STT, if any, on the settlement / exercise of the Futures and Option in these specified stocks.

CBDT instruction number 272/M-40/2018-IT-J dated August 27, 2018, submitted to Hon'ble Bombay High Court in this matter inter -alia states that

"The only distinctions that STT framework recognised are (a) Whether the securities are equity shares or derivatives i.e., option and futures and (b) Whether the contract for sale of the securities is settled by actual delivery or transfer of shares or otherwise."

The CBDT instruction also state as follows

"(iv) Serial no. 1 and 2 of the table in Section 98 of Finance (No.2) Act, 2004 prescribe that purchase/sale of an equity share of a company where the transaction is entered into a recognised stock exchange and the contract for purchase/sale of such share is settled by the actual delivery or transfer of such is a taxable securities transaction. In such situations also where, in order to settle the obligation under the derivative contract the parties to a derivative contract purchase or sell equity shares through recognised stock exchange and delivery of the shares take place, these provisions shall be attracted, and such a transaction shall be subject to STT. In other words, since the levy of STT is not dependent upon the purpose for which the transaction in an equity is being undertaken, there is no distinction permissible under the statue for a purchase or a sale transaction in an equity to settle an option or futures contract under the amended settlement mechanism implemented by the capital market regulator (SEBI).

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*4. In a nutshell, CBDT is of the view that where a derivative contract is being settled by physical delivery of shares, the transaction would not be any different from transaction in equity share where the contract is settled by actual delivery or transfer of shares and the rates of STT as applicable to such delivery-based transactions shall be **also** applicable to such derivative transaction."* (**Emphasis supplied**)

In view of the above CBDT instruction and on basis of opinion by tax consultants, it has been decided to levy Securities Transaction Tax (STT) as follows with respect to transactions in equity derivative segment of BSE.

Sr. No	Taxable Securities Transaction	Sr. No of Taxable Securities Transaction mentioned in Section 98 of Finance (No.2) Act, 2004	Rate Applicable till 31st March 2026	Rate Applicable from 01st April 2026	Payable by
1	Sale of an **OPTION** in securities	4 (a)	0.10%	0.15%	Seller
2	Sale of an **OPTION** in securities where option is exercised	4(b)	0.125%	0.15%	Purchaser
3	Sale of **FUTURE** in securities	4(c)	0.02%	0.05%	Seller
4	Purchase of an equity share arising out of physical settlement of transaction in **FUTURE** in securities	1 (Based on CBDT instructions)	0.1%	0.1%	Purchaser
5	Sale of an equity share arising out of physical settlement of transaction in **FUTURE** in securities	2 (Based on CBDT instructions)	0.1%	0.1%	Seller
6	Purchase of an equity share arising out of physical	1 (Based on CBDT instructions)	0.1%	0.1%	Purchaser

Sr. No	Taxable Securities Transaction	Sr. No of Taxable Securities Transaction mentioned in Section 98 of Finance (No.2) Act, 2004	Rate Applicable till 31st March 2026	Rate Applicable from 01st April 2026	Payable by
	settlement of transaction due to exercise of **OPTION** in securities				
7	Sale of an equity share arising out of physical settlement of transaction due to exercise of **OPTION** in securities	2 (Based on CBDT instructions)	0.1%	0.1%	Seller

This is for the information and due compliance of the Members and for onward transmission to the constituents.

In case of any clarification, trading members may contact the following official on the telephone number and email id given below.

Contact Person	Contact No.	Email ID
Mr. Libin Mathews	022-22728867	Libin.mathews@bseindia.com
Mr. Nikhil Kataria	022-22725830	Nikhil.kataria@bseindia.com

3. Applicability of Securities Transaction Tax (STT) post implementation of Interoperability among Clearing Corporations

This is with reference to the interoperability among Clearing Corporations pursuant to the SEBI Circular No. CIR/MRD/DRMNP/CIR/P/2018/145 dated November 27, 2018.

In this regard, clarification was sought with respect to the applicability of STT on trades done on the multiple stock exchanges which are settled under interoperability framework including the applicability of STT on trades which are settled otherwise than by actual delivery across multiple stock exchanges / clearing corporations.

The Central Board of Direct Taxes vide their letter dated June 6, 2019, has issued the following clarification:

Quote

Under the provisions of STT, it is not material to the charge and levy of STT as to whether the settlement of trade takes place within the same stock exchange / clearing corporation or across multiple stock exchanges / clearing corporations. Accordingly, interoperability of clearing corporations shall have no impact on the incidence of STT on securities and STT at a lower rate shall continue to apply for trades / transactions settled otherwise than by delivery of shares even under the interoperable framework.

Unquote

In view of the above, the trading members may kindly note that the STT on trades done on the multiple stock exchanges which are settled under interoperability framework shall continue to be levied as at present rates as applicable for delivery trades and non-delivery trades respectively, as per the provisions of section 98 of the Finance (No. 2) Act, 2004.

It thus stands clarified that the STT on trades done on multiple stock exchanges which are settled under interoperability framework and are settled otherwise than by actual delivery shall be levied at the rate of 0.025 per cent, payable by the Seller, as per Sr. No. 3 of the table under section 98 of the Finance (No. 2) Act, 2004.

Trading Members are requested to take note of the above

In case of any clarification, trading members may contact the following official on the telephone number and email id given below.

Contact Person	Contact No.	Email ID
Mr. Libin Mathews	022-22728867	Libin.mathews@bseindia.com
Mr. Nikhil Kataria	022-22725830	Nikhil.kataria@bseindia.com

4. Securities Transaction Tax (STT) - Equity & Derivatives Segment

Further to Exchange Notice No. 20170103-10 dated January 3, 2017, we would like to inform you that, apart from the changes highlighted in Point no 1 of section II of this circular, there had been some amendment in the value of taxable securities transaction in relation to serial no. 4(b) of the table under section 98 of the Finance (No.2) Act, 2004 pertaining to "sale of an option in securities, where option is exercised".

The amendment in clause (a)(ii) of section 99 of the Finance (No. 2) Act, 2004 relating to the value of taxable securities transaction was as below:

With effect from September 1, 2019, in case where Option is exercised, the value on which STT is levied shall be taken as "Intrinsic Value" instead of "Settlement Price". Intrinsic value as defined by Explanation to section 99 of the Finance (No. 2) Act, 2019 shall be the difference between Settlement price and Strike Price.

All trading members are hereby informed that there are no changes in the rate of Securities Transaction Tax (STT) apart from the changes highlighted in Point no 1 of section II of this circular and the existing procedures for calculation, levy and collection of STT by the Exchange shall continue.

For further clarifications on the subject matter, you may kindly contact the following officials –

Type of Query	Contact Person	Department	Contact No.
STT Rate	Libin Mathews	Finance	022-22728867
STT Rate	Nikhil Kataria	Finance	022-22725830
STT Calculation & end-of day files	Kaushal Mehta	Trading Operations	022-22725778

5. Notice on applicability of Securities Transaction Tax (STT) on trading of Rights Entitlement

Further to Exchange Notice No. 20190823-28 dated August 23, 2019, we would like to inform you that, apart from the changes highlighted in Point no 1 of section II of this circular, it was proposed to include trades in Rights Entitlement ("RE") under serial no. 4(a) of the table under section 98 of the Finance (No.2)

Act, 2004 pertaining to "sale of an option in securities". Accordingly, STT shall be payable by the seller at the rate of **0.15%** of the value at which such RE's are traded.

All trading members are hereby informed that there is no change in the rate of Securities Transaction Tax (STT) apart from the changes highlighted in Point no 1 of section II of this circular and the existing procedures for calculation, levy and collection of STT by the Exchange shall continue.

For further clarifications on the subject matter, you may kindly contact the following officials –

Type of Query	Contact Person	Department	Contact No.
STT Rate	Libin Mathews	Finance	022-22728867
STT Rate	Nikhil Kataria	Finance	022-22725830
STT Calculation & end-of day files	Kaushal Mehta	Trading Operations	022-22725778

6. Securities Transaction Tax (STT) - Equity Warrants

Further to Exchange Notice No. 20200811-37 dated August 11, 2020, we would like to inform you that, apart from the changes highlighted in Point no 1 of section II of this circular, it was proposed to include trades in Equity Warrants under serial no. 4(a) of the table under section 98 of the Finance (No.2) Act, 2004 pertaining to "sale of an option in securities". Accordingly, STT shall be payable by the seller at the rate of **0.15%** of the value at which such Equity Warrants are traded.

All trading members are hereby informed that there is no change in the rate of Securities Transaction Tax (STT) apart from the changes highlighted in Point no 1 of section II of this circular and the existing procedures for calculation, levy and collection of STT by the Exchange shall continue.

For further clarifications on the subject matter, you may kindly contact the following officials –

Type of Query	Contact Person	Department	Contact No.
STT Rate	Libin Mathews	Finance	022-22728867
STT Rate	Nikhil Kataria	Finance	022-22725830
STT Calculation & end-of day files	Kaushal Mehta	Trading Operations	022-22725778

7. **Commodities Transaction Tax (CTT) Rates**

In the Finance Act of 2020, following amendments were made in Finance Act 2013 pertaining to Commodities Transaction Tax (CTT). You are requested to take note of the same.

i. Definition of Taxable commodities transaction as per sec 116 of Finance Act, 2013:

Till March 31, 2020	With effect from April 1, 2020
Taxable commodities transaction means a transaction of sale of commodity derivatives or option on commodity derivatives in respect of commodities, other than agricultural commodities traded in recognised associations.	Taxable commodities transaction means a transaction of sale of commodity derivatives or sale of commodity derivatives based on prices or indices of prices of commodity derivatives or option on commodity derivatives or option in goods in respect of commodities, other than agricultural commodities, traded in recognised stock exchange.

ii. Change in rate of Commodities Transaction Tax (CTT) as per Sec 117 of Finance Act, 2013

Sr. No	Taxable Commodity Transaction	Till March 31, 2020		With effect from April 1, 2020	
		Rate	Payable by	Rate	Payable by
1	Sale of a commodity derivative	0.01%	Seller	0.01%	Seller
2	Sale of a commodity derivatives based on prices or indices of prices of commodity derivatives.	NA	NA	0.01%	Seller
3	Sale of an option on commodity derivative	0.05%	Seller	0.05%	Seller

Sr. No	Taxable Commodity Transaction	Till March 31, 2020		With effect from April 1, 2020	
		Rate	Payable by	Rate	Payable by
4	Sale of an option in Goods	NA	NA	0.05%	Seller
5	Sale of an option on commodity derivative, where option is exercised	0.0001%	Purchaser	0.0001%	Purchaser
6	Sale of an option in Goods, where option is exercised, resulting in actual delivery of goods	NA	NA	0.0001%	Purchaser
7	Sale of an option in Goods, where option is exercised, resulting in settlement otherwise than by the actual delivery of goods	NA	NA	0.125%	Purchaser

Note: *In case of contracts settled by cash, no additional CTT shall be levied. In case of contracts settled physically no CTT applicable but GST would be applicable, and the place of supply will be delivery centre.*

iii. Value of Taxable Commodities Transaction as per Sec 118 of Finance Act, 2013

Till March 31, 2020	With effect from April 1, 2020
(a) in the case of a taxable commodities transaction relating to a commodity derivative, shall be the price at which the commodity derivative is traded;	(a) in the case of a taxable commodities transaction relating to a commodity derivative or commodity derivative based on prices or indices of prices of commodity derivatives, shall be the price at which the commodity derivative or commodity derivative based on prices or

Till March 31, 2020	With effect from April 1, 2020
	indices of prices of commodity derivatives is traded;
(b) in the case of a taxable commodities transaction relating to an option on commodity derivative, shall be— (i) the option premium, in respect of transaction at serial number 2 of the above table in section 117. (ii) the settlement price, in respect of transaction at serial number 3 of the above table in section 117.	(b) in the case of a taxable commodities transaction relating to an option on commodity derivative or option in goods, shall be— (*i*) the option premium, in respect of transaction at serial numbers 3 and 4 of the Table in section 117; (*ii*) the settlement price, in respect of transaction at serial numbers 5 and 6 of the Table in section 117; (*iii*) the difference between the settlement price and the strike price, in respect of transaction at serial number 7 of the Table in section 117.

This is for the information and due compliance of the Members and also for onward transmission to the constituents.

In case of any clarification, trading members may contact the following official on the telephone number and email id given below.

Contact Person	Contact No.	Email ID
Mr. Libin Mathews	022-22728867	Libin.mathews@bseindia.com
Mr. Nikhil Kataria	022-22725830	Nikhil.kataria@bseindia.com

8. Applicability of Commodities Transaction Tax ('CTT') on Option in commodities contracts on underlying Gold and silver in Commodity Derivatives Segment

This is with reference to the circular issued by BSE regarding the trading of Option in commodities contracts on underlying Gold and Silver, vide circular no 20200523-1 dated May 23,2020.

In this regard, the trading members may kindly note that CTT is applicable on trading of Option in commodities contracts on underlying Gold and Silver on the Exchange at the rates specified in Sl. no. 4, 6 and 7 of the CTT table provided under Section 117 of Chapter VII of Finance Act, 2013. Kindly refer Sr. No. 4, 6 and 7 in point No 7 (ii) of section II of this circular.

All trading members are hereby requested to take note of the above changes in the rates of CTT.

For further clarifications on the subject matter, you may kindly contact the following officials –

Type of Query	**Contact Person**	**Department**	**Contact No.**
CTT Rate	Libin Mathews	Finance	022-22728867
CTT Rate	Nikhil Kataria	Finance	022-22725830
CTT Calculation & end-of day files	Kaushal Mehta	Trading Operations	022-22725778

9. Excess Securities Transaction Tax (STT) Retained – BSE

This has reference to notice no ITBA/COM/F/17/2025-26/1086923338(1) dated March 05, 2026 issued by Joint Commissioner of Income Tax, Range – 7(1), Mumbai. This notice was issued to draw attention towards excess STT collected by some brokers/sub-brokers for the financial year 2023-24 and for preceding years as on March 31, 2023, which is not being remitted to the Government account.

The relevant extract of the instructions from the office of Joint Commissioner of Income Tax, Range 7(1) is as given below:

"it is requested that a circular may kindly be issued requesting all the Member, Brokers/Sub-brokers to furnish the details of such excess STT collected and retained with them for F.Y.2023-24 and preceding years as on 31.03.2023 directly to 'BSE LTD.' under intimation to this office.

The letters may be captioned as 'Excess STT Retained –BSE'. They may be directed to comply with this Circular within 7 days from publishing of the Circular/Notice and remit such excess STT collected along with interest @ 1% for every month's delay to 'BSE LTD.' immediately under intimation to this office and the BSE shall deposit the same to the Government Account immediately. You are accordingly requested to issue such Circular/Notice and intimate its compliance to this office at the earliest."

Hence, as per the instructions of the income tax department, a circular is hereby issued to the member brokers, requesting to furnish details of excess STT collected and retained with them for FY 2023-24 and for preceding years as on March 31, 2023 to BSE Limited and remit the excess STT along with interest as per instructions above immediately.

The remittance of excess STT should be made by way of an Account Payee cheque **only** drawn in the name of "**BSE Limited**", along with the details of such excess STT collected and interest calculations. Request you to kindly send the cheque and details to the below mentioned postal address:

Nikhil Kataria / Libin Mathews (Finance & Accounts department)
BSE Limited
25th Floor, PJ Towers,
Dalal Street, Fort,
Mumbai – 400001

In case of any clarification, you may write / contact Nikhil Kataria or Libin Mathews on bse.tax@bseindia.com or 022-22728867.

For and on behalf of BSE Limited

Kamlesh Jagetiya
Financial Controller